

Office of the Tasmanian Energy Regulator

Statement of Reasons

**2008 Distribution Maximum Prices and Network Tariffs
and
2008 Retail Tariffs for Non-contestable Tariff Customers**

In accordance with the 2007 Price Determination

January 2008

Printed January 2008
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1 INTRODUCTION

1.1 Background

The 2007 Investigation into maximum prices that may be charged by Aurora Energy Pty Ltd (Aurora) for distribution services and retail services for non-contestable tariff customers provided by Aurora was conducted under the *Electricity Supply Industry (Price Control) Regulations 2003* (Price Control Regulations), in accordance with the Terms of Reference prepared by the Regulator.

Following completion of the Investigation and release of the Final Report, the Regulator issued the 2007 Determination¹ in accordance with requirements of Regulation 31 of the Price Control Regulations.

1.1.1 Retail Tariffs

The 2007 Determination includes the requirement that:

Retail tariffs are to be submitted to the Regulator for approval each year in accordance with the Tariff Customers Regulations and any relevant guidelines issued by the Regulator.

Regulation 5 of the *Electricity Supply Industry (Tariff Customers) Regulations 1998* (Tariff Customers Regulations) also requires:

- (2) After 30 September 1998, an electricity retailer that proposes to amend a tariff as provided by section 38(2) of the Act –
 - (a) must submit a draft of the proposed amendment to the Regulator; and
 - (b) must not make the amendment to the tariff until the draft has been approved by the Regulator.

On 2 November 2007, the Regulator issued a *Guideline: Approval of Retail Tariffs in accordance with the 2007 Determination* (Retail Tariffs Approval Guideline). The Retail Tariffs Approval Guideline sets out the detailed requirements and process for the approval of Retail Tariffs for each period of the Determination.

1.1.2 Distribution Services

The 2007 Determination includes the requirement that:

Network tariffs are to be submitted to the Regulator for approval each year in accordance with any relevant guidelines issued by the Regulator (Clause 7(2))

¹ OTTER, *Investigation into Electricity Supply Industry Pricing Policies: Declared Electrical Services Pricing Determination*, October 2007

On 2 November 2007, the Regulator issued a *Guideline: Approval of Network Tariffs in accordance with the 2007 Determination* (Network Tariffs Approval Guideline). The Network Tariffs Approval Guideline sets out the detailed requirements and process for the approval of Network Tariffs for each period of the Determination.

1.2 Purpose of this Statement

This Statement sets out the Regulator's reasons for and decisions in regard to the approval of:

- Retail Tariffs in accordance with the 2007 Determination and the requirements of the Tariff Customers Regulations; and
- Network Tariffs in accordance with the 2007 Determination.

2 RETAIL TARIFFS

As noted above, in 2007 the Regulator undertook an investigation into retail electricity tariffs and made a Determination for retail tariff prices to apply for the period 1 January 2008 to 30 June 2010. Under the 2007 Determination the Regulator sets a maximum average retail tariff price. Aurora may adjust tariff rates within this limit.

2.1 Retail Tariff Approval Process

There are two steps in the approval of retail tariffs.

- The first step is to estimate the total allowable charges for a notional customer base of residential and business non-contestable tariff customers, referred to as the Notional Maximum Revenue (NMR).
- The second step is the approval of a set of tariffs which will deliver an amount of revenue (from a defined base sales assumption) that will not exceed the NMR.

The NMR set in the 2007 Determination may be adjusted to take account of changes in some of Aurora's costs which are outside the control of the Regulator or Aurora. Cost items which may be subject to adjustment include:

- network charges for non-contestable tariff customers;
- the market participation fees and ancillary services charges set by the National Electricity Market Management Company (NEMMCO);
- the costs of Renewable Energy Certificates (RECs); and
- tax events as defined in the Price Control Regulations.

The actual costs of network charges, NEMMCO charges and RECs cannot be forecast with certainty. Therefore, Aurora will be able to adjust tariffs for the difference between the Regulator's original estimate and the actual costs. Similarly, tax events cannot be forecast as they are unknown events. Nevertheless, the Regulator is obliged to provide for a pass-through in the event that such a tax event may occur. Aurora is also permitted to adjust its retail tariffs to reflect the impact on the energy price of any changes to the transmission loss factors².

² Transmission loss factors are set each year by NEMMCO. As the loss factors to be applied by NEMMCO in future years cannot be determined in advance the Regulator applied the current loss factors for the purposes of the Determination.

In addition, the 2007 Determination provides for adjustments arising from the administration of the 2003 Determination³ and 2006 Determination⁴. In the 2003 and 2006 Retail Tariff Determinations the cost of transmission services and distribution services were provided for as separate pass-through items.

In addition, the 2003 and 2006 Determinations provided for the pass-through of the difference between the actual and forecast costs incurred by Aurora in meeting its obligations for entry into the National Electricity Market (NEM Entry).

The Tariff Customers Regulations also require Aurora to submit to the Regulator its draft Tariff Schedule for approval prior to amending its Tariff Schedule.

2.2 Aurora Retail Tariff Submission

Aurora provided to the Regulator a copy of its Retail Tariff Submission on 13 December 2007. However, as the Regulator considered that the Network Tariff Submission received on 10 December 2007 did not comply with the Network Tariffs Approvals Guideline and would require amendment, he deferred approval of the Retail Tariffs.

On 20 December 2007 Aurora wrote to the Regulator enclosing a copy of its *Initial Retail Tariff Strategy and Pricing Proposal for 2008* and its draft Tariff Schedule in accordance with the 2007 Determination and the Tariff Customers Regulations.

On 24 December 2007 Aurora wrote to the Regulator advising that it was seeking approval at that stage only for those tariffs applicable to residential customers, being Tariffs 31, 41, 42, 61 and 62 as Aurora was reviewing its network tariffs and proposed to submit a revised Initial Network Tariff Pricing Proposal.

On 4 January 2008, Aurora wrote to the Regulator seeking approval of its proposed business retail tariffs for 2008, being Tariffs 22 (which was proposed to include Tariffs 33 and 36), and Tariffs 35, 43, 54, 55, 73/74, 82, 83, 85 and 86. Aurora also provided, in accordance with the 2007 Determination and the Retail Tariffs Approval Guideline, a revised copy of its *Initial Retail Tariff Strategy and Pricing Proposal* for the period 1 January 2008 to 30 June 2008 (period 1 of the 2007 Determination).

Copies of the Aurora submissions are available on the Pricing Approvals page of the Regulator's website www.energyregulator.tas.gov.au.

³ OTTER, *Investigation into Electricity Supply Industry Pricing Policies: Declared Electrical Services Pricing Determination*, November 2003.

⁴ OTTER, *Determination of Maximum Prices for Electricity Retailing to Tariff Customers on Mainland Tasmania for 2007*, December 2006.

2.3 Residential Tariffs

As noted above, Aurora provided on 20 December 2007⁵, in accordance with the 2007 Determination and the Retail Tariffs Approval Guideline a copy of its *Initial Tariff Strategy and Pricing Proposal*. However, as also noted above, Aurora advised the Regulator on 24 December that as it was seeking approval only for residential tariffs, the content of that document was relevant only to the extent that it applied to the residential tariffs.

In considering the request for approval of the draft residential tariffs, the Regulator had to consider the components of the NMR for the residential customer segment (ie term ‘ResNMR’ in the Determination). One of the components of ‘ResNMR’ is ‘ResNC’. ‘ResNC’ is the amount of network tariffs applicable to the Residential Notional Tariff Base. That amount was derived from the schedule of network tariffs that had been submitted for the Regulator’s approval as part of the *Initial Network Tariff Pricing Proposal*. Aurora advised the Regulator on 21 December 2007 intended to revise its *Initial Network Tariff Pricing Proposal*⁶. This review (confirmed in its letter of 24 December 2007) did not extend to the network tariffs applicable to residential customers (being network tariffs ‘NO1’, ‘NO5’ and ‘NO6’). On this basis, the Regulator accepted the proposed rates in the relevant network tariffs in their application to the residential tariffs 31, 41, 42, 61 and 62 in calculating ‘ResNC’ for the relevant period.

Having reviewed the relevant material in those documents the Regulator also noted:

- Aurora had complied with the requirements of the Tariff Customers Regulations and substantially complied with the Retail Tariffs Approval Guideline issued by the Regulator in regard to the Residential Tariffs;
- Aurora had demonstrated that the prices it proposed to charge in period 1 for the Residential Tariffs set out in Schedule 2(A) of the 2007 Determination complied with the 2007 Determination; and
- forecasts and methodologies associated with the draft Residential Tariffs are reasonable.

The Regulator also noted that the proposed changes in Supply Fees were attributable to CPI indexation of 2007 rates.

The Regulator however did not accept the changes in the terms and conditions proposed in the Residential Tariff Pricing Proposal for the following reasons:

⁵ The Retail Tariffs Approval Guideline required the Initial Retail Submission to be forwarded to the Regulator by 30 November. However, it was delayed pending finalisation of the Initial Network Tariff Strategy and Network Tariff Pricing Proposal as discussed in Section 3.

⁶ This was agreed following discussions between Aurora and the Regulator on 21 December 2007.

- The drafting of the proposed changes to terms and conditions for off-peak Tariffs 61 and 62 did not reflect the intention expressed in the proposal.
- As the proposed change in regard to curtilage arrangements may remove the entitlement of existing customers to such arrangements the Regulator considered that this proposal should be the subject of consultation with affected parties prior to effecting that change.

2.3.1 Decision Residential Retail Tariffs

On the basis of the above, the Regulator, in accordance with Regulation 5(3)(b) of the Tariff Customers Regulations, approved the residential tariff prices for mainland Tasmania on 27 December 2007.

In making this Decision the Regulator noted:

- This approval did not extend to the proposed changes in rates or terms and conditions for the business tariffs set out in Schedule 2(A) of the Determination. Therefore, the rates and terms and conditions of those tariffs should remain unchanged (ie remain as set out in the 2007 Tariff Schedule) until such time as the Regulator approved the changes for the business tariffs for mainland Tasmania.
- A further audit certificate in regard to the changes in network tariffs proposed in the revised proposal submitted on 24 December 2007, which was a necessary condition of his approval, would need to be provided.

The Regulator also noted the significant increase in rates for step 3 of the Residential Tariff 31. As there is a number of very high consumption Tariff 31 customers who will be exposed to increases in costs that are significantly higher than the average residential and business rate of change, the Regulator also requested further advice of Aurora's strategy to address this and other impacts on 'outlier' customers (ie those with very high consumption levels) not identified through the 'typical customer analysis' prepared in accordance with the Retail Tariff Approval Guideline.

2.4 Business Tariffs

On 4 January 2008 Aurora wrote to the Regulator seeking approval of its proposed business tariffs for 2008 in accordance with the 2007 Determination and the Tariff Customers Regulations. Aurora also provided, in accordance with the 2007 Determination and the Retail Tariffs Approval Guideline a copy of its *Retail Tariff Strategy and Pricing Proposal V4* (Proposal). The content of the Proposal was relevant only to the extent that it applied to business tariffs, since the Regulator had approved the proposed residential tariffs on 27 December 2007.

In considering the request for approval of the draft business tariffs, the Regulator also had to consider the components of the NMR applicable to the business customer segment (ie the term 'BusNMR' in the 2007 Determination). One of the components of the 'BusNMR' is 'BusNC'. 'BusNC' is the amount of network tariffs applicable to the Business Notional Tariff Base. It was noted that the amount was derived from

the schedule of network tariffs submitted on 3 January 2008 and approved on 4 January 2008.

Having reviewed the relevant material the Regulator noted:

- Aurora had complied with the requirements of the Tariff Customers Regulations and complied to a satisfactory extent with the Retail Tariff Approval Guideline issued by the Regulator in regard to the business tariffs;
- based on the internal audit certification to this effect, Aurora had demonstrated that the prices it proposed to charge in period 1 for the business tariffs set out in Schedule 2(A) of the 2007 Determination complied with that Determination; and
- forecasts and methodologies associated with the draft business tariffs were reasonable.

The Regulator did not however accept the proposed changes to the terms and conditions proposed by Aurora. As noted above, the proposed change in regard to curtilage arrangements may remove the entitlement of existing customers to such arrangements. The Regulator considered that this proposal should be the subject of consultation with affected parties prior to effecting that change. The Regulator also did not accept other proposed changes to the terms and conditions proposed by Aurora (including the rationalisation of Tariffs 22, 33 and 36 which have the same prices but are subject to different terms and conditions), as he also considered that these proposals should be the subject of consultation with affected parties prior to effecting those changes.

2.4.1 Decision Business Tariffs

On the basis of the above, the Regulator:

- approved the revised rates for each component of the relevant Business tariffs as set out in the Table “Prices including GST”, as set out in Section 2.4 of the Proposal;
- approved the removal of Tariffs 25, 26, 28, 37, 38, 71/72, 78, 81 and 90 on the basis that there are no customers taking supply under these obsolete tariffs;
- did not approve the other changes in the terms and conditions proposed by Aurora;
- approved the proposed changes in General Conditions described in Section 3.9 only to the extent that such changes were consequential to the removal of the obsolete tariffs referred to above; and
- required Aurora to submit an amended draft tariff schedule to reflect these approvals as soon as practicable.

3 NETWORK TARIFFS

During 2007 the Regulator undertook an investigation into distribution services and made a Determination for distribution network services and metering services to apply for the period 1 January 2008 to 30 June 2012.

3.1 Network Tariff Approval Process

There are two steps in the approval of network tariffs.

- The first step is to calculate the maximum revenues that can be earned from distribution network services and maximum average charges for metering services.
- The second step is the approval of a set of tariffs which will deliver an amount of revenue (from a defined base number of installation and load assumptions) that will not exceed the maximum revenues as calculated at step 1, plus the transmission charges and metering charges for the relevant period and which satisfy the pricing principles in the 2007 Determination.

Under the Determination the Regulator sets maximum revenues, by reference to an annual allowable revenue requirement (AARR), for network services and a maximum average daily charge per meter for metering services. Aurora may adjust tariff rates within the limit provided by the Determination. That is, Aurora may design its tariffs and set the price for each component of these tariffs to ensure that it recovers no more than the maximum revenue for distribution network services and transmission services charges plus the maximum average daily charge per meter for metering services. In addition, the network tariff design must satisfy the pricing principles set out in the 2007 Determination.

Some of the costs that make up the AARR are outside the control of the Regulator or Aurora. These costs are treated as ‘pass-throughs’ to distribution connected customers. That is, Aurora will be able to adjust its AARR to account for the difference between the Regulator’s original estimate and the actual costs. Costs that can be treated as pass-throughs in the 2007 Determination include:

- the Electrical Safety Inspection Charge and the National Energy Market Charge imposed by Government under the *Electricity Supply Industry Act 1995*;
- costs incurred in relation to the legislative obligation to provide a retailer of last resort function under the *Electricity Supply Industry Act (Contestable Customer) Regulations 2005*;
- adjustments arising from a tax event as required under the Price Control Regulations;

- adjustments relating to the administration of the 2003 Determination, including the impact of:
 - differences between actual and forecast operational and service connection assets capital expenditure and associated depreciation, customer capital contributions and disposals,
 - differences between actual and forecast electrical safety costs,
 - the service incentive scheme rewards or penalties arising from actual SAIDI and SAIFI⁷ being below or above the targets set in the 2003 Determination,
 - differences between actual and forecast NEM entry capital and operational expenditures, and
 - differences between actual and forecast number of installed meters;
- differences between the forecast costs and the approved actual costs incurred by Aurora arising from NEM and retail contestability activities; and
- differences between the actual costs and forecast costs of the Tasmanian Government's trunk mobile radio project.

3.2 Distribution Network Tariff Submission

Aurora initially wrote to the Regulator on 10 December 2007 seeking approval of its *Initial Network Tariff Strategy* and its *Initial Network Tariff Pricing Proposal* for the period 1 January 2008 to 30 June 2008. As the Regulator considered that these documents did not comply with the Network Tariffs Approvals Guideline, Aurora was asked to revise and resubmit these. An amended draft was received on 20 December 2007. Following further discussions between Aurora and the Regulator it was agreed the final documents would be submitted in early January 2008.

Aurora wrote to the Regulator again on 2 January 2008, seeking approval of its *Initial Network Tariff Strategy (Version 6)* and *Initial Network Tariff Pricing Proposal (Version 5)* in accordance with the 2007 Determination.

3.3 Network Tariffs

The Regulator, having reviewed the relevant material in Aurora's Initial Network Tariff Strategy and Initial Network Tariff Pricing Proposal noted that:

- Aurora had complied to a satisfactory extent with the Approval of Network Tariffs Guideline in accordance with the 2007 Determination;

⁷ SAIDI means a system average interruption duration index and SAIFI means a system average interruption frequency index.

- Aurora was seeking approval of an adjustment to its AARR relating to the administration of the 2003 Determination in period 1 (1 January 2008 to 30 June 2008) of \$1.0 million, noting that a detailed submission in regard to the carry forward of all adjustments relating to the administration of the 2003 Determination would be submitted as part of the period 2 Network Tariff Pricing Proposal;
- Aurora had demonstrated, supported by the internal audit certification, that the network tariffs it was proposing to charge in period 1 complied with the 2007 Determination; and
- forecasts and methodologies associated with the proposal were reasonable.

The Regulator also noted that there was not sufficient justification for the significant increases in rates for Tariff 73/74 (arising from increases in network tariff N08 – LV Day/Night Irrigation) and also Tariff 34 (arising from the application of the general network tariff N02) and more modest increase for Tariff 22 customers (also arising from increases in the general network tariff N02). However, it was noted that the impact on customers for period 1 was being managed by Aurora through the retail tariffs not fully reflecting the proposed changes in network tariffs. The Regulator also advised Aurora that it will need to provide more substantial justification in its future documentation if there is to be a sound and effective basis of consultation with affected customers.

3.3.1 Decision Network Tariffs

Notwithstanding the deficiencies in its Submission, the Regulator approved the Network Tariff Pricing Proposal in accordance with the 2007 Determination and the Network Tariffs Approval Guideline on 4 January 2008.